Bob & Lisa Smith: 2024 Form 1040 (Married Filing Jointly), Preparer Review Package

Prepared for: Senior Accountant (review) | Prepared by: Tax Preparer | Status: **DRAFT FOR INTERNAL REVIEW. NOT FOR FILING.**

1. Return summary

Item	Amount ($)
Total income (1040 line 9)	361,246
Adjusted gross income (line 11)	360,946
Standard deduction (line 12)	29,200
QBI deduction, Form 8995 (line 13)	43
Taxable income (line 15)	331,703
Tax, QD & CG Tax Worksheet (line 16)	62,878
Child tax credit, Schedule 8812 (line 19)	(6,000)
Schedule 3 nonrefundable credits (line 20)	(539)
Other taxes, Schedule 2: Add'l Medicare + NIIT (line 23)	2,232
Total tax (line 24)	58,571
Federal income tax withheld, W-2s (line 25a)	(25,394)
2024 estimated tax payments (line 26)	(13,685)
Excess social security tax withheld, Schedule 3 (line 31)	(4,113)
Total payments (line 33)	43,192
AMOUNT YOU OWE (line 37), before any Form 2210 penalty	15,379

2. Forms and schedules in this package (required to be e-filed with Form 1040)

Form	Status	Reason
Form 1040	Required	Main return, MFJ, 3 dependents
Schedule 1	Required	Line 11 educator expense ($300); Part I has no entries
Schedule 2	Required	Line 11 Additional Medicare Tax; line 12 NIIT
Schedule 3	Required	Foreign tax credit (line 1), dependent care credit (line 2), excess SS tax (line 11)
Schedule B	Required	Ordinary dividends over $1,500; Part III foreign account questions
Schedule D	Required	Short-term loss (line 1a, basis reported, no adjustments) and long-term gain from Form 8949
Form 8949 (Box D)	Required	Lisa's long-term sale has a wash-sale adjustment (code W), so it can't go straight onto Schedule D line 8a
Form 2441	Required	Child and dependent care credit
Schedule 8812	Required	Child tax credit, 3 qualifying children
Form 8959	Required	Combined Medicare wages exceed the $250,000 MFJ threshold
Form 8960	Required	MAGI exceeds $250,000; NIIT on net investment income
Form 8995	Required	Section 199A (REIT) dividends from the 1099-DIV
Schedule A	Not filed	Standard deduction is larger with the documented amounts (see workpaper W-4)
Form 1116	Not filed	Foreign tax $211 is $600 or less, passive, and reported on a 1099-DIV, so the direct-credit election applies
Form 6251	Not filed	AMT screen: tentative minimum tax is below regular tax (workpaper W-6)
Form 2210	Open item	Prior-year (2023) tax not provided; see open item 1

3. Open items and assumptions for reviewer

1. Underpayment penalty (Form 2210). Withholding, estimates and the excess SS credit total $43,192. That is less than 90% of the 2024 tax ($52,714), and the balance due of $15,379 is over $1,000. Whether a penalty applies depends on the prior-year safe harbor (110% of 2023 tax, since 2023 AGI was likely over $150,000). The 2023 return was not provided, so line 38 is left blank and the IRS would compute any penalty. **Please obtain the 2023 Form 1040 total tax.**

2. Lisa's W-2 box 12a code is illegible. The $26,406.43 amount equals SS/Medicare wages minus box 1 wages, and box 13 'Retirement plan' is checked, so it is an elective deferral (most likely code E, 403(b), for a school employee). Lisa was 48 at year-end, so no age-50 catch-up applies. If this is a single 403(b) or 401(k) deferral, it exceeds the 2024 $23,000 limit by $3,406.43 (or by $406.43 if the 15-year-service 403(b) catch-up applies). The excess would have to be included in income on line 1h. If it is split between a 403(b) and a 457(b), there is no excess. **The return reports box 1 wages as issued, with no excess-deferral adjustment. Please confirm the code and plan type with Lisa/employer before filing.**

3. Itemized deductions versus standard deduction. The documented itemized deductions are mortgage interest $17,679, real estate taxes $6,748 and cash charitable gifts $4,300, for a total of $28,727. That is below the $29,200 MFJ standard deduction. Texas has no income tax, so the general sales tax deduction is available under SALT. The IRS optional sales tax table and calculator

were not available while preparing this draft, so that amount was not estimated. If the sales tax amount is more than $473, itemizing (Schedule A) is better. The extra deduction is at most $2,779 because SALT is capped at $10,000. **Please run the IRS Sales Tax Deduction Calculator (Bexar County / San Antonio, 5-person household) and switch to Schedule A if it is higher.** If the return switches to Schedule A, the $2,500 Red Cross gift needs a contemporaneous written acknowledgment, and the church gifts need bank records or receipts.

4. Wash sale on a sale at a gain (Lisa, 1099-B). Box 1g reports $468.41 'wash sale loss disallowed' on a sale with a $32,609 gain. That is unusual. The return follows the broker form (Form 8949 code W, +$468 adjustment) so it matches IRS information returns. Please consider asking the broker whether box 1g is correct. Removing the adjustment would lower the gain by $468.

5. Fourth-quarter estimate. The $3,575 payment made 01/05/2025 is treated as the 2024 Q4 estimate (due 01/15/2025). Total estimates are $13,685. No 2023 overpayment applied to 2024 was reported. Please verify against IRS account transcript / EFTPS.

6. Educator expense. Lisa reported about $730 of classroom expenses. The deduction is limited to $300, and the rest is not deductible. It assumes she worked 900+ hours as a K-12 educator, was not reimbursed, and has receipts.

7. Student loan interest ($4,312, Form 1098-E). Not deductible. MAGI of $360,946 exceeds the 2024 MFJ phase-out ceiling of $195,000.

8. Long-term care premiums ($11,000). These are deductible only as medical expenses, up to the 2024 age-based limit of $880 each (both are 41-50 at year-end), for a total of $1,760. That is far below the 7.5% of AGI floor ($27,071), so there is no deduction under either option. LTC premiums are not reported elsewhere on the return.

9. Dependent care. Only care for Robert III and Melissa (both age 6) qualifies ($1,640). Judith turned 14 in 2024, so her $600 of care does not qualify. There are no employer dependent care benefits (W-2 box 10 is blank on all W-2s). The provider's address is in Dallas while the family lives in San Antonio. The provider name, address and EIN were taken from the statement as provided.

10. Foreign tax credit. The $211 on the 1099-DIV is claimed directly on Schedule 3 line 1 under the de minimis election ($600 MFJ). This assumes the 1099-DIV holding period requirement was met.

11. Section 199A dividends ($214.79). Treated as qualified REIT dividends, assuming the 45-day holding period was met.

12. Other assumptions. Filing status is MFJ: the clients are married and lived together all year, and a married filing separately comparison was not prepared. All three children are U.S. citizens with valid SSNs, lived with the clients all year and qualify for the CTC. Digital assets: 'No' per the intake form. No foreign accounts or trusts. The Presidential Election Campaign Fund choice, third-party designee, identity protection PINs, payment method for the balance due, and signatures are all left blank pending the client and reviewer. Bob's 1099-INT/1099-B names differ slightly ('Robert Smith' / 'Robert Smith Jr'), but the TINs match. Amounts are rounded to whole dollars per source item.

1040	U.S. Individual Income Tax Return	OMB No. 1545-0074
Department of the Treasury Internal Revenue Service	For the year Jan. 1-Dec. 31, 2024	2024

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Your first name and middle initial: **ROBERT**	Last name: **SMITH JR.**	Your SSN: **333-44-5555**
Spouse's first name and middle initial: **LISA M.**	Last name: **SMITH**	Spouse's SSN: **444-55-6666**
Home address: **123 SMITH STREET**	Apt. no.: -	Presidential Election Campaign: **[ ] You [ ] Spouse** (not elected; confirm)
City, state, ZIP: **SAN ANTONIO, TX 78253**	Foreign country: -	

Filing Status	[ ] Single **[X] Married filing jointly** [ ] Married filing separately [ ] Head of household [ ] Qualifying surviving spouse
Digital Assets	At any time during 2024, did you receive, sell, exchange, or otherwise dispose of a digital asset? [ ] Yes **[X] No**
Standard Deduction	Someone can claim: [ ] You as a dependent [ ] Your spouse as a dependent [ ] Spouse itemizes on a separate return
Age/Blindness	You: [ ] Were born before January 2, 1960 [ ] Are blind Spouse: [ ] Was born before January 2, 1960 [ ] Is blind

Dependents: (1) First name, Last name	(2) SSN	(3) Relationship	(4) Child tax credit	(4) Credit for other dependents
ROBERT SMITH III	111-22-7777	SON	[X]	[ ]
MELISSA SMITH	222-33-7777	DAUGHTER	[X]	[ ]
JUDITH SMITH	777-88-9999	DAUGHTER	[X]	[ ]

Income

1a	Total amount from Form(s) W-2, box 1			**1a**	**327,003**
1b	Household employee wages not reported on Form(s) W-2				
1c	Tip income not reported on line 1a				
1d	Medicaid waiver payments not reported on Form(s) W-2				
1e	Taxable dependent care benefits from Form 2441, line 26				
1f	Employer-provided adoption benefits from Form 8839, line 29				
1g	Wages from Form 8919, line 6				
1h	Other earned income (see open item 2: possible excess deferral, not included)				
1i	Nontaxable combat pay election				
1z	Add lines 1a through 1h			**1z**	**327,003**
2a/2b	Tax-exempt interest: 0 | **2b** Taxable interest (Schedule B)			**2a/2b**	**1,116**
3a/3b	Qualified dividends: **4,898** | **3b** Ordinary dividends (Schedule B)			**3a/3b**	**6,744**
4a/4b	IRA distributions / taxable amount				
5a/5b	Pensions and annuities / taxable amount				
6a/6b	Social security benefits / taxable amount				
7	Capital gain or (loss). Attach Schedule D			**7**	**26,383**
8	Additional income from Schedule 1, line 10			**8**	**0**
9	Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8. This is your **total income**			**9**	**361,246**
10	Adjustments to income from Schedule 1, line 26			**10**	**300**
11	Subtract line 10 from line 9. This is your **adjusted gross income**			**11**	**360,946**
12	Standard deduction or itemized deductions (from Schedule A)			**12**	**29,200**
13	Qualified business income deduction from Form 8995			**13**	**43**
14	Add lines 12 and 13			**14**	**29,243**
15	Subtract line 14 from line 11. This is your **taxable income**			**15**	**331,703**

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Tax and Credits					
16	Tax (see instructions). Check if any from Form(s): [ ] 8814 [ ] 4972 [ ] other. Computed on the Qualified Dividends and Capital Gain Tax Worksheet (W-5)			**16**	**62,878**
17	Amount from Schedule 2, line 3			**17**	**0**
18	Add lines 16 and 17			**18**	**62,878**
19	Child tax credit or credit for other dependents from Schedule 8812			**19**	**6,000**
20	Amount from Schedule 3, line 8			**20**	**539**
21	Add lines 19 and 20			**21**	**6,539**
22	Subtract line 21 from line 18. If zero or less, enter -0-			**22**	**56,339**
23	Other taxes, including self-employment tax, from Schedule 2, line 21			**23**	**2,232**
24	Add lines 22 and 23. This is your **total tax**			**24**	**58,571**
Payments					
25a	Federal income tax withheld from Form(s) W-2	**25a**	25,394		
25b	Federal income tax withheld from Form(s) 1099	**25b**	0		
25c	Other forms (Form 8959, line 24)	**25c**	0		
25d	Add lines 25a through 25c			**25d**	**25,394**
26	2024 estimated tax payments and amount applied from 2023 return			**26**	**13,685**
27	Earned income credit (EIC)				
28	Additional child tax credit from Schedule 8812	**28**	0		
29	American opportunity credit from Form 8863, line 8				
30	Reserved for future use				
31	Amount from Schedule 3, line 15	**31**	4,113		
32	Add lines 27, 28, 29, and 31. These are your **total other payments and refundable credits**			**32**	**4,113**
33	Add lines 25d, 26, and 32. These are your **total payments**			**33**	**43,192**
Refund					
34	If line 33 is more than line 24, subtract line 24 from line 33. This is the amount you **overpaid**			**34**	**0**
35a	Amount of line 34 you want **refunded to you** (client declined direct deposit)			**35a**	**0**
36	Amount of line 34 you want **applied to your 2025 estimated tax**				
Amount You Owe					
37	Subtract line 33 from line 24. This is the **amount you owe**			**37**	**15,379**
38	Estimated tax penalty (see instructions). Not computed: 2023 tax needed for Form 2210 (open item 1)				

Third Party Designee	Do you want to allow another person to discuss this return with the IRS? [ ] Yes [ ] No (to be confirmed)
Sign Here (Taxpayer)	Signature: _____ Date: _____ Occupation: **SALESMAN** IP PIN: _____
Sign Here (Spouse)	Signature: _____ Date: _____ Occupation: **TEACHER** IP PIN: _____
Contact	Phone: **222-867-5309** Email: **BOBSMITH@SMITH.COM**
Paid Preparer Use Only	Preparer's name / signature / PTIN / Firm's name, address, EIN: [to be completed by firm] [ ] Self-employed

SCHEDULE 1 (Form 1040) Department of the Treasury Internal Revenue Service	**Additional Income and Adjustments to Income** Attach to Form 1040, 1040-SR, or 1040-NR	OMB No. 1545-0074 **2024** Attachment Seq. No. 01

Name(s) shown on return **ROBERT SMITH JR. & LISA MARIE SMITH**	Your social security number **333-44-5555**

Part I Additional Income

1-9	Taxable refunds, alimony, business income, other gains, rental, farm, unemployment, other income: none				
10	Combine lines 1 through 7 and 9. Enter here and on Form 1040, line 8			**10**	**0**

Part II Adjustments to Income

11	Educator expenses (Lisa M. Smith; $730 reported, limited to $300)	**11**	300		
12-20	Business expenses of reservists/artists, HSA, moving (military), SE tax, SEP/SIMPLE, SE health insurance, early withdrawal penalty, alimony, IRA: none				
21	Student loan interest deduction (1098-E $4,312; MAGI $360,946 exceeds $195,000 phase-out, allowed $0)	**21**	0		
22-25	Reserved / Archer MSA / other adjustments: none				
26	Add lines 11 through 23 and 25. These are your **adjustments to income**. Enter here and on Form 1040, line 10			**26**	**300**

SCHEDULE 2 (Form 1040) Department of the Treasury Internal Revenue Service	**Additional Taxes** Attach to Form 1040, 1040-SR, or 1040-NR	OMB No. 1545-0074 **2024** Attachment Seq. No. 02

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I Tax					
1a-1z	Additions to tax (excess advance premium tax credit repayment, etc.): none				
2	Alternative minimum tax. Attach Form 6251 (not required; see W-6)			**2**	**0**
3	Add lines 1z and 2. Enter here and on Form 1040, line 17			**3**	**0**
Part II Other Taxes					
4	Self-employment tax. Attach Schedule SE				
5-10	Unreported SS/Medicare tax, additional tax on IRAs/qualified plans, household employment taxes, first-time homebuyer credit repayment: none				
11	Additional Medicare Tax. Attach Form 8959	**11**	931		
12	Net investment income tax. Attach Form 8960	**12**	1,301		
13-20	Uncollected SS/Medicare tax on tips/GTL, interest on deferred tax, recapture, other additional taxes, section 965: none				
21	Add lines 4, 7 through 16, and 18. These are your **total other taxes**. Enter here and on Form 1040, line 23			**21**	**2,232**

SCHEDULE 3 (Form 1040) Department of the Treasury Internal Revenue Service	**Additional Credits and Payments** Attach to Form 1040, 1040-SR, or 1040-NR	OMB No. 1545-0074 **2024** Attachment Seq. No. 03

Name(s) shown on return **ROBERT SMITH JR. & LISA MARIE SMITH**	Your social security number **333-44-5555**

Part I	**Nonrefundable Credits**				
1	Foreign tax credit. Form 1116 not required: election under the $600 MFJ de minimis rule (1099-DIV box 7, passive)				
2	Credit for child and dependent care expenses from Form 2441, line 11				
3-6	Education credits, retirement savings contributions credit, residential energy credits, other nonrefundable credits: none				
7	Total other nonrefundable credits				
8	Add lines 1 through 4, 5a, 5b, and 7. Enter here and on Form 1040, line 20			**8**	**539**
Part II	**Other Payments and Refundable Credits**				
9	Net premium tax credit. Attach Form 8962				
10	Amount paid with request for extension to file				
11	Excess social security and tier 1 RRTA tax withheld (Robert, two employers; see W-3)	**11**	4,113		
12	Credit for federal tax on fuels				
13	Other payments or refundable credits: none				
14	Total other payments or refundable credits	**14**	0		
15	Add lines 9 through 12 and 14. Enter here and on Form 1040, line 31			**15**	**4,113**

SCHEDULE B (Form 1040)	Interest and Ordinary Dividends	OMB No. 1545-0074
Department of the Treasury	Attach to Form 1040 or 1040-SR	2024
Internal Revenue Service		Attachment Seq. No. 08

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I Interest					
1	Yellow Rose Bank (Robert)	**1**	40		
1	TX Lending Company (Robert)	**1**	108		
1	Yellow Rose Bank (Lisa)	**1**	968		
2	Add the amounts on line 1			**2**	**1,116**
3	Excludable interest on series EE and I U.S. savings bonds (Form 8815)			**3**	**0**
4	Subtract line 3 from line 2. Enter the result here and on Form 1040, line 2b			**4**	**1,116**
Part II Ordinary Dividends					
5	Yellow Rose Bank (Lisa M. Smith)	**5**	6,744		
6	Add the amounts on line 5. Enter the total here and on Form 1040, line 3b			**6**	**6,744**
Part III Foreign Accounts and Trusts					
7a	At any time during 2024, did you have a financial interest in or signature authority over a financial account located in a foreign country? [ ] Yes **[X] No**				
7b	If 'Yes,' are you required to file FinCEN Form 114 (FBAR)? N/A				
8	During 2024, did you receive a distribution from, or were you the grantor of, or transferor to, a foreign trust? [ ] Yes **[X] No**				

SCHEDULE D (Form 1040)	Capital Gains and Losses	OMB No. 1545-0074
Department of the Treasury	Attach to Form 1040, 1040-SR, or 1040-NR. Use Form 8949 to list your transactions.	**2024**
Internal Revenue Service		Attachment Seq. No. 12

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Did you dispose of any investment(s) in a qualified opportunity fund during the tax year? [ ] Yes **[X] No**

Part I Short-Term Capital Gains and Losses (generally assets held one year or less)

Line	Description	(d) Proceeds	(e) Cost or other basis	(g) Adjustments	(h) Gain or (loss)
1a	Short-term totals from all Form 1099-B with basis reported to IRS and no adjustments (Robert: L&R Investment Advisors)	57	6,751		(6,694)
1b-3	Totals from Form 8949 Boxes A/B/C				
4-6	Short-term gain from Forms 6252/4684/6781/8824; K-1s; short-term carryover (none)				
7	**Net short-term capital gain or (loss)**. Combine lines 1a through 6 in column (h)				(6,694)

Part II Long-Term Capital Gains and Losses (generally assets held more than one year)

Line	Description	(d) Proceeds	(e) Cost or other basis	(g) Adjustments	(h) Gain or (loss)
8a	Long-term totals, basis reported, no adjustments				
8b	Totals for all transactions reported on Form(s) 8949 with **Box D** checked	43,877	11,268	468	33,077
9-10	Form 8949 Boxes E/F				
11-14	Form 4797/2439/6252 etc.; K-1s; capital gain distributions; long-term carryover (none)				
15	**Net long-term capital gain or (loss)**. Combine lines 8a through 14 in column (h)				33,077

Part III Summary

16	Combine lines 7 and 15 and enter the result. Gain: enter on Form 1040, line 7			**16**	**26,383**
17	Are lines 15 and 16 both gains? **[X] Yes** [ ] No				
18	28% rate gain (from worksheet)			**18**	**0**
19	Unrecaptured section 1250 gain (from worksheet)			**19**	**0**
20	Are lines 18 and 19 both zero or blank? **[X] Yes**: complete the Qualified Dividends and Capital Gain Tax Worksheet (W-5). Don't complete lines 21 and 22				
21-22	Not applicable (line 16 is a gain)				

Form 8949 Department of the Treasury Internal Revenue Service	Sales and Other Dispositions of Capital Assets File with your Schedule D to list your transactions for lines 1b, 2, 3, 8b, 9, and 10 of Schedule D.	OMB No. 1545-0074 2024 Attachment Seq. No. 12A

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Name/SSN of transaction owner: LISA MARIE SMITH, 444-55-6666. Part I (short-term) is not required: Robert's short-term sale (basis reported, no adjustments) is reported directly on Schedule D line 1a.

Part II Long-Term. Box checked: [X] (D) Long-term transactions reported on Form 1099-B showing basis was reported to the IRS

(a) Description	(b) Date acquired	(c) Date sold	(d) Proceeds	(e) Cost or basis	(f) Code	(g) Adjustment	(h) Gain or (loss)
18 sh. BLU-FOR CORP (Retro Investing Co.)	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077
2 Totals (to Schedule D line 8b)			**43,877**	**11,268**		**468**	**33,077**

Code W: wash sale loss disallowed reported in 1099-B box 1g ($468.41), entered as a positive adjustment per Form 8949 instructions. See open item 4.

Form 2441	Child and Dependent Care Expenses	OMB No. 1545-0074
Department of the Treasury Internal Revenue Service	Attach to Form 1040, 1040-SR, or 1040-NR.	**2024** Attachment Seq. No. 21

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

A. Did you receive dependent care benefits? [ ] Yes **[X] No**

Part I Persons or Organizations Who Provided the Care

1 (a) Care provider's name	(b) Address	(c) Identifying number (EIN)	(d) Household employee?	(e) Amount paid
Children First Child Care Center of Texas	777 Childcare Way, Dallas, TX 75211	45-4564564	[ ] Yes [X] No	2,240

Part II Credit for Child and Dependent Care Expenses

2 (a) Qualifying person's name	(b) SSN	(c) Qualified expenses incurred and paid in 2024
Robert Smith III (DOB 04/07/2018)	111-22-7777	820
Melissa Smith (DOB 04/07/2018)	222-33-7777	820

Judith Smith (DOB 06/09/2010) was 13 or older for all of 2024. Her $600 of care is not a qualified expense.

3	Add the amounts in column (c) of line 2 (limit $6,000 for two or more qualifying persons)			**3**	**1,640**
4	Enter your earned income (Robert: W-2 box 1, two employers)			**4**	**234,934**
5	If married filing jointly, enter your spouse's earned income (Lisa)			**5**	**92,069**
6	Enter the smallest of line 3, 4, or 5			**6**	**1,640**
7	Enter the amount from Form 1040, line 11			**7**	**360,946**
8	Enter on line 8 the decimal amount shown for line 7 (AGI over $43,000)			**8**	**X 0.20**
9a	Multiply line 6 by the decimal amount on line 8			**9a**	**328**
9b	Credit for prior year's expenses			**9b**	**0**
9c	Add lines 9a and 9b			**9c**	**328**
10	Tax liability limit (Credit Limit Worksheet: 1040 line 18 less Schedule 3 line 1)			**10**	**62,667**
11	Credit for child and dependent care expenses. Enter the smaller of line 9c or line 10 here and on Schedule 3, line 2			**11**	**328**

Part III (Dependent Care Benefits) is not applicable: W-2 box 10 is blank for both spouses.

SCHEDULE 8812 (Form 1040)	Credits for Qualifying Children and Other Dependents	OMB No. 1545-0074
Department of the Treasury	Attach to Form 1040, 1040-SR, or 1040-NR.	2024
Internal Revenue Service		Attachment Seq. No. 47

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I Child Tax Credit and Credit for Other Dependents

1	Enter the amount from line 11 of your Form 1040			**1**	**360,946**
2a-2d	Income from Puerto Rico / Form 2555 / Form 4563 exclusions			**2a-2d**	**0**
3	Add lines 1 and 2d			**3**	**360,946**
4	Number of qualifying children under age 17 with the required social security number			**4**	**3**
5	Multiply line 4 by $2,000			**5**	**6,000**
6	Number of other dependents			**6**	**0**
7	Multiply line 6 by $500			**7**	**0**
8	Add lines 5 and 7			**8**	**6,000**
9	Enter $400,000 if married filing jointly			**9**	**400,000**
10	Subtract line 9 from line 3 (if zero or less, enter -0-)			**10**	**0**
11	Multiply line 10 by 5% (0.05)			**11**	**0**
12	Is line 8 more than line 11? Yes: subtract line 11 from line 8			**12**	**6,000**
13	Enter the amount from Credit Limit Worksheet A			**13**	**62,339**
14	Enter the smaller of line 12 or line 13. This is your child tax credit and credit for other dependents. Enter on Form 1040, line 19			**14**	**6,000**

Credit Limit Worksheet A: (1) Form 1040 line 18 62,878; (2) Schedule 3 lines 1 + 2 = 539; (3) line 1 minus line 2 = 62,339; (4) Credit Limit Worksheet B: not applicable; (5) 62,339.

Part II-A / II-B (additional child tax credit) is not applicable: line 14 equals line 12, so the credit is fully used against tax.

Form 8959	Additional Medicare Tax	OMB No. 1545-0074
Department of the Treasury Internal Revenue Service	Attach to Form 1040, 1040-SR, 1040-NR, 1040-PR, or 1040-SS.	2024 Attachment Seq. No. 71

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I Additional Medicare Tax on Medicare Wages					
1	Medicare wages and tips from Form W-2, box 5 (Companix 132,465; Zixbo 102,469; Compress MS 118,475)	**1**	353,409		
2	Unreported tips from Form 4137, line 6	**2**	0		
3	Wages from Form 8919, line 6	**3**	0		
4	Add lines 1 through 3	**4**	353,409		
5	Enter $250,000 (married filing jointly)	**5**	250,000		
6	Subtract line 5 from line 4. If zero or less, enter -0-	**6**	103,409		
7	Additional Medicare Tax on Medicare wages. Multiply line 6 by 0.9% (0.009)			**7**	**931**
Parts II-III Self-Employment Income / RRTA Compensation					
8-17	Not applicable			**8-17**	**0**
Part IV Total Additional Medicare Tax					
18	Add lines 7, 13, and 17. Also include this amount on Schedule 2 (Form 1040), line 11			**18**	**931**
Part V Withholding Reconciliation					
19	Medicare tax withheld from Form W-2, box 6	**19**	5,124		
20	Enter the amount from line 1	**20**	353,409		
21	Multiply line 20 by 1.45% (0.0145). This is your regular Medicare tax withholding on Medicare wages	**21**	5,124		
22	Subtract line 21 from line 19. If zero or less, enter -0-. This is your Additional Medicare Tax withholding on Medicare wages			**22**	**0**
23	Additional Medicare Tax withholding on RRTA compensation			**23**	**0**
24	Total Additional Medicare Tax withholding. Add lines 22 and 23. Also include on Form 1040, line 25c			**24**	**0**

No employer withheld Additional Medicare Tax because no single W-2 exceeded $200,000 of Medicare wages.

Form 8960	Net Investment Income Tax: Individuals, Estates, and Trusts	OMB No. 1545-2227
Department of the Treasury	Attach to your tax return.	2024
Internal Revenue Service		Attachment Seq. No. 72

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I	**Investment Income [ ] Section 6013(g) election [ ] Section 6013(h) election [ ] Regulations section 1.1411-10(g) election**				
1	Taxable interest (Form 1040, line 2b)			**1**	**1,116**
2	Ordinary dividends (Form 1040, line 3b)			**2**	**6,744**
3	Annuities			**3**	**0**
4a-4c	Rental real estate, royalties, partnerships, S corporations, trusts			**4a-4c**	**0**
5a	Net gain or loss from disposition of property	**5a**	26,383		
5b	Net gain or loss from disposition of property that is not subject to NIIT	**5b**	0		
5c	Adjustment from disposition of partnership interest or S corporation stock	**5c**	0		
5d	Combine lines 5a through 5c			**5d**	**26,383**
6-7	CFC/PFIC adjustments; other modifications to investment income			**6-7**	**0**
8	Total investment income. Combine lines 1, 2, 3, 4c, 5d, 6, and 7			**8**	**34,243**
Part II	**Investment Expenses Allocable to Investment Income and Modifications**				
9a-9d	Investment interest expenses; state, local, and foreign income tax (foreign tax taken as a credit, not deducted); miscellaneous			**9a-9d**	**0**
10	Additional modifications			**10**	**0**
11	Total deductions and modifications			**11**	**0**
Part III	**Tax Computation**				
12	Net investment income. Subtract Part II, line 11, from Part I, line 8			**12**	**34,243**
13	Modified adjusted gross income	**13**	360,946		
14	Threshold based on filing status (married filing jointly)	**14**	250,000		
15	Subtract line 14 from line 13. If zero or less, enter -0-	**15**	110,946		
16	Enter the smaller of line 12 or line 15			**16**	**34,243**
17	Net investment income tax for individuals. Multiply line 16 by 3.8% (0.038). Enter here and on Schedule 2, line 12			**17**	**1,301**

Form 8995	Qualified Business Income Deduction Simplified Computation	OMB No. 1545-2294
Department of the Treasury Internal Revenue Service	Attach to your tax return.	2024 Attachment Seq. No. 55

Name(s) shown on return	Your social security number
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

1	Trade, business, or aggregation name / TIN / QBI: none				
2	Total qualified business income or (loss)	**2**	0		
3	Qualified business net (loss) carryforward from the prior year	**3**	0		
4	Total qualified business income. Combine lines 2 and 3	**4**	0		
5	Qualified business income component. Multiply line 4 by 20%			**5**	**0**
6	Qualified REIT dividends and publicly traded partnership (PTP) income or (loss) (1099-DIV box 5, Yellow Rose Bank)	**6**	215		
7	Qualified REIT dividends and qualified PTP (loss) carryforward from the prior year	**7**	0		
8	Total qualified REIT dividends and PTP income. Combine lines 6 and 7	**8**	215		
9	REIT and PTP component. Multiply line 8 by 20%			**9**	**43**
10	Qualified business income deduction before the income limitation. Add lines 5 and 9			**10**	**43**
11	Taxable income before qualified business income deduction	**11**	331,746		
12	Enter your net capital gain, if any (qualified dividends + Schedule D net capital gain)	**12**	31,281		
13	Subtract line 12 from line 11	**13**	300,465		
14	Income limitation. Multiply line 13 by 20%			**14**	**60,093**
15	Qualified business income deduction. Enter the smaller of line 10 or line 14. Also enter on Form 1040, line 13			**15**	**43**
16	Total qualified business (loss) carryforward; line 17 REIT/PTP (loss) carryforward: none			**16**	**0**

Taxable income before the QBI deduction (331,746) is below the 2024 MFJ threshold of $383,900, so Form 8995 (not 8995-A) applies.

Preparer Workpapers (supporting schedules, not filed)

Prepared for reviewer tie-out. Amounts in whole dollars unless cents are shown.

W-1 Wage and withholding summary (Forms W-2)

Employee	Employer (EIN)	Box 1 wages	Box 2 FIT	Box 3 SS wages	Box 4 SS tax	Box 5 Medicare	Box 6 Medicare tax
Robert Smith Jr.	Companix (12-1234567)	132,465.05	9,642.23	132,465.05	8,212.83	132,465.05	1,920.74
Robert Smith Jr.	Zixbo Services Group Inc (12-1234568)	102,468.69	7,465.85	102,468.69	6,353.06	102,468.69	1,485.80
Lisa M. Smith	Compress Middle School (33-3213213)	92,068.87	8,286.20	118,475.30	7,345.47	118,475.30	1,717.89
Total		**327,002.61**	**25,394.28**	**353,409.04**	**21,911.36**	**353,409.04**	**5,124.43**

Lisa W-2 box 12a: $26,406.43, code illegible (see open item 2); box 12b code DD $57,342.01 (employer health coverage, informational only); box 13 retirement plan checked.

W-2 Interest, dividends and capital transactions

Source	Recipient	Document	Amount (cents)	Rounded
Yellow Rose Bank	Robert	1099-INT box 1	39.99	40
TX Lending Company	Robert	1099-INT box 1	107.88	108
Yellow Rose Bank	Lisa	1099-INT box 1	968.22	968
Yellow Rose Bank	Lisa	1099-DIV 1a ordinary / 1b qualified	6,744.05 / 4,897.86	6,744 / 4,898
Yellow Rose Bank	Lisa	1099-DIV box 5 Sec. 199A / box 7 foreign tax	214.79 / 211.05	215 / 211
L&R Investment Advisors	Robert	1099-B ST, basis reported: 56.78 - 6,750.88	(6,694.10)	(6,694)
Retro Investing Company	Lisa	1099-B LT, basis reported: 43,877.03 - 11,268.00 + 468.41 (W)	33,077.44	33,077

W-3 Excess social security tax withheld (Robert, two employers)

Computation	Amount
SS tax withheld: Companix $8,212.83 + Zixbo $6,353.06	14,565.89
Less 2024 maximum: $168,600 x 6.2%	(10,453.20)
Excess SS tax (Schedule 3, line 11)	4,112.69 -> 4,113
Lisa: single employer, $118,475.30 x 6.2% = $7,345.47, matches box 4; no excess	0

W-4 Standard deduction vs. itemized deductions

Item	Source	Amount
Home mortgage interest (acquisition debt $565,774 < $750,000; originated 05/06/2020)	Form 1098 box 1	17,679
Real estate taxes	Form 1098 box 10	6,748
General sales tax (Texas)	IRS table/calculator: not available, see open item 3	TBD
SALT subtotal (cap $10,000)		6,748
Cash charitable: American Red Cross $2,500 + church $150 x 12 = $1,800	Client intake notes	4,300
Medical: LTC eligible premiums $1,760 (limited by age) less 7.5% AGI floor $27,071	Texas Insurance Co. letter	0
Itemized total (documented)		28,727
2024 standard deduction, MFJ		29,200
Deduction used (larger)		29,200

W-5 Qualified Dividends and Capital Gain Tax Worksheet, Line 16

Line	Description	Amount
1	Taxable income (Form 1040, line 15)	331,703
2	Qualified dividends (line 3a)	4,898
3	Smaller of Schedule D line 15 or 16	26,383
4	Add lines 2 and 3	31,281
5	Subtract line 4 from line 1	300,422
6	0% bracket top, MFJ	94,050
7	Smaller of line 1 or line 6	94,050
8	Smaller of line 5 or line 7	94,050
9	Line 7 minus line 8 (taxed at 0%)	0
10	Smaller of line 1 or line 4	31,281
11	Amount from line 9	0
12	Line 10 minus line 11	31,281

Line	Description	Amount
13	15% bracket top, MFJ	583,750
14	Smaller of line 1 or line 13	331,703
15	Add lines 5 and 9	300,422
16	Line 14 minus line 15	31,281
17	Smaller of line 12 or line 16	31,281
18	Line 17 x 15%	4,692.15
19	Add lines 9 and 17	31,281
20	Line 10 minus line 19	0
21	Line 20 x 20%	0.00
22	Tax on line 5 (Tax Computation Worksheet, MFJ: x 24% - $13,915)	58,186.28
23	Add lines 18, 21, and 22	62,878.43
24	Tax on line 1 (Tax Computation Worksheet)	65,693.72
25	**Tax: smaller of line 23 or 24 (Form 1040, line 16)**	62,878

W-6 Other computations and screens

Item	Computation	Result
Estimated tax payments	04/02/2024 $3,380 + 07/04/2024 $3,275 + 10/02/2024 $3,455 + 01/05/2025 $3,575	13,685
Student loan interest MAGI test	MAGI 360,946 > $195,000 MFJ phase-out ceiling	$0 allowed
Child tax credit phase-out	AGI 360,946 < $400,000 MFJ threshold	No reduction
AMT screen (Form 6251)	AMTI 360,903 - exemption 133,300 = 227,603; TMT ~55,736 < regular tax 62,878	No AMT
Dependent care qualified expenses	Robert III $820 + Melissa $820 (Judith $600 excluded, age 14)	1,640
Ages at 12/31/2024	Robert Jr. 50 (DOB 12/19/1974); Lisa 48 (DOB 11/21/1976); Robert III & Melissa 6; Judith 14	-
90% of 2024 tax (Form 2210 test)	58,571 x 90%; payments incl. excess SS 43,192	52,714